GradientCIO

PRIVATE MARKETS PORTFOLIO CONSTRUCTION

Northstar Private Markets Program

Portfolio construction review · prepared for the Investment Committee

AS OF
2026-06-30

PRIVATE-MARKETS NAV
$230.0M

UNFUNDED COMMITMENTS
$92.0M

REVIEW
Program construction

OVERALL VIEW
Pacing and concentration on watch

SCOPE REVIEWED
9 of 10 · Partial

01 Executive Decision

Recommendation and committee action

OVERALL VIEW

Pacing and concentration on watch

SCOPE REVIEWED · 9/10

RECOMMENDATION

We recommend a two-year $80.0M commitment program that shifts new commitments toward infrastructure and secondary private equity while keeping private-markets exposure inside the 15.0%–30.0% policy range S3 S6. Committee action requested: approve the program ceiling and first-year pacing, subject to manager diligence and quarterly liquidity tests S3 S7.

PRIVATE-MARKETS WEIGHT	UNFUNDED COMMITMENTS	LIQUID COVERAGE	POLICY STATUS
23.0%	$92.0M	4.8x	Watch
Policy range 15.0%–30.0% S3	9.2% of NAV S4	Governed base case S3	Manager concentration S3

Recommendation and action requested

We recommend a two-year $80.0M commitment program. Committee action requested: approve a $45.0M first-year ceiling and require completed diligence before each commitment S3 S6 S7.

DECISION SUMMARY

DECISION ELEMENT	PROPOSED ACTION	EVIDENCE	STATUS
Program size	$80.0M over two years	S6	Proposed
First-year ceiling	$45.0M	S6	Proposed
Policy fit	Remain within 15.0%–30.0%	S3	Compliant

Conditions and limits

Each manager requires completed operational and GIPS diligence; quarterly pacing proceeds only while governed liquidity coverage remains at or above the returned policy threshold S3 S7.

Key judgment — headline signal

Observation: The sample report carries a pacing-and-concentration signal above the clear threshold S1. Why it matters: This signal focuses oversight on the report's most decision-relevant condition. Uncertainty: Evidence coverage may exclude newer or more detailed observations. What would change the view: A governed refresh showing a different signal or breached threshold.

Key judgment — primary measure

Observation: Private-markets weight is 23.0% in the review evidence S2. Why it matters: This measure establishes the baseline for comparing later governed results. Uncertainty: The source basis may omit newer observations outside the reviewed evidence. What would change the view: A refreshed source report showing a change above 1%.

Key judgment — monitoring priority

Observation: Policy status is Watch rather than Clear in the review evidence S3. Why it matters: This result determines which item receives priority in the next monitoring cycle. Uncertainty: Supporting coverage may omit later filings or corroborating detail. What would change the view: A new filing or report that resolves the item or changes it by 1%.

02 Mandate and Construction Objective

Policy and program constraints

Portfolio	**Northstar Total Fund** S2
Objective	**Diversified private-markets program** S7
Horizon	**10 years** S5
Target range	**15.0%–30.0% of total NAV** S3
Base currency	**USD** S2
Data scope	**Illustrative sample data** S1 S1

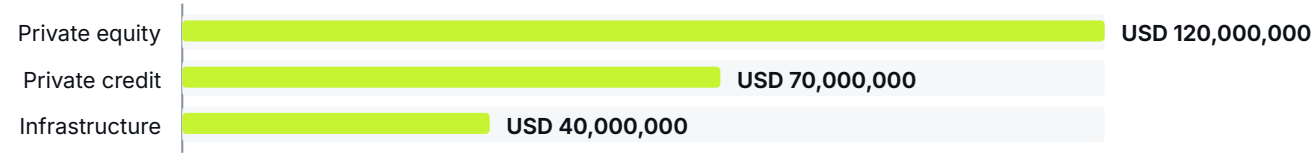
GOVERNED FRAMEWORK

AREA	OBJECTIVE OR LIMIT	OBSERVED	STATUS	SOURCE
Private markets	15.0%–30.0%	23.0%	Compliant	S3
Single manager	At or below 12.0%	11.4%	Watch	S3 S4
Unfunded ratio	At or below 12.0%	9.2%	Compliant	S3

03 Current Private Markets Portfolio

NAV, commitments and valuation dates

PRIVATE-MARKETS NAV BY STRATEGY



CURRENT PROGRAM SNAPSHOT

STRATEGY	NAV	UNFUNDED	COMMITMENT	% NAV	VALUATION DATE
Private equity	$120.0M	$42.0M	$210.0M	12.0%	2026-03-31 S4
Private credit	$70.0M	$30.0M	$125.0M	7.0%	2026-03-31 S4
Infrastructure	$40.0M	$20.0M	$75.0M	4.0%	2026-03-31 S4

ILPA COMPANY COVERAGE

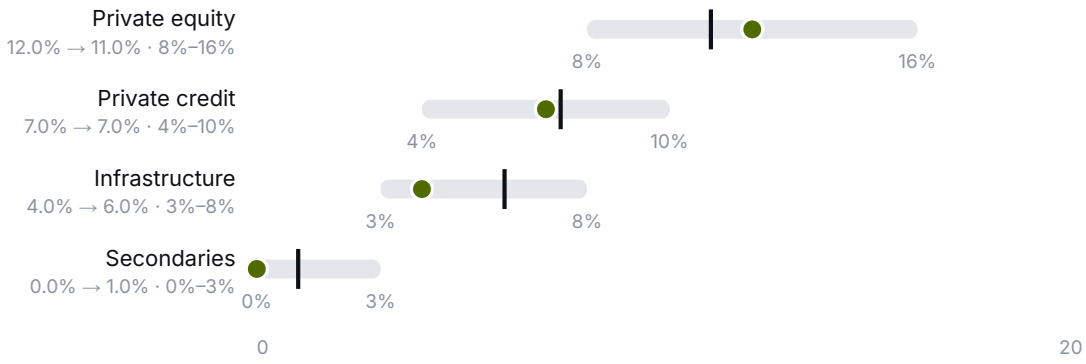
DATA STATUS	MAPPED COMPANIES	VALUED COMPANIES	ASSESSED / TOTAL	AGGREGATE COMPLETENESS	SELECTED ARTIFACTS	REPORTING DATE	DRAFT LABEL
Partial	2	2	2 / 3	Partial — one unknown-grain holding excluded	1	2026-06-30	Draft — July 22, 2026 S9

All reported private-market NAVs are dated 2026-03-31 and therefore lag the report date; unfunded amounts are shown separately and are not included in NAV. Company look-through is a non-additive risk overlay; the partial server aggregates assess two of three holdings, with one unknown grain excluded S4 S9.

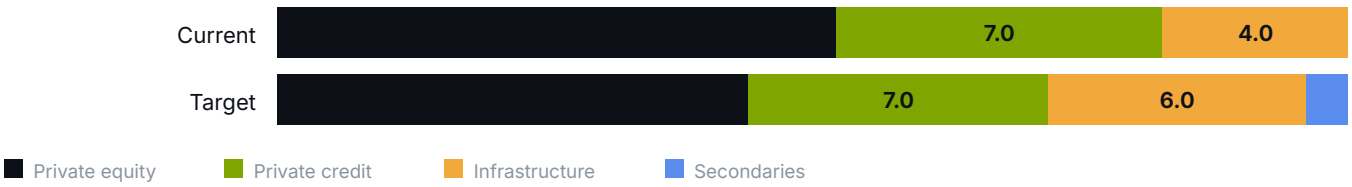
04 Target Portfolio Structure

The proposed mix reduces concentrated risk while preserving mandate exposure

CURRENT WEIGHT VERSUS POLICY RANGE



CURRENT AND TARGET MIX

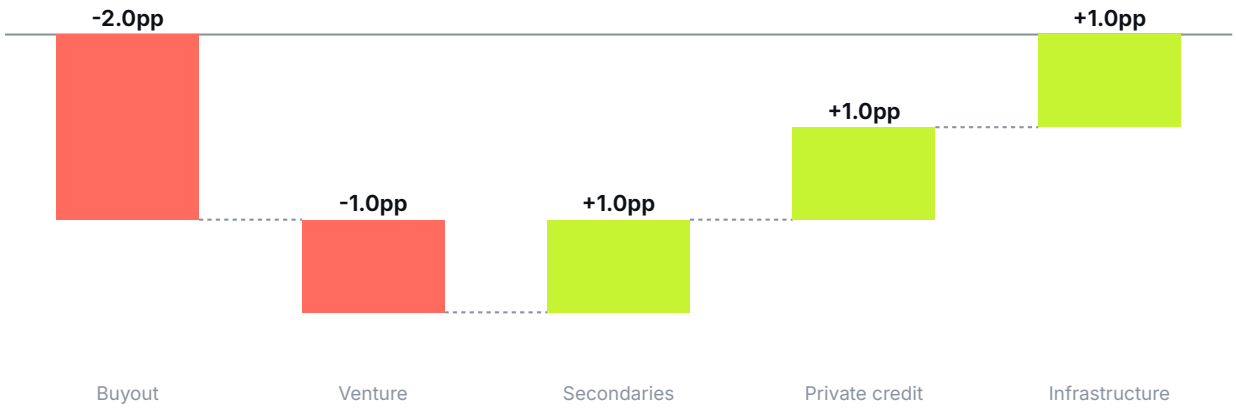


VINTAGE-YEAR MIX



Governed vintage evidence and proposed commitment pacing S6 S7.

TARGET ALLOCATION CHANGES (PERCENTAGE POINTS)



CURRENT VERSUS TARGET

SEGMENT	CURRENT	TARGET	CHANGE	RANGE / CONSTRAINT	RATIONALE
Private equity	12.0%	11.0%	-1.0pp	8.0%–16.0%	Use slower new pacing S3 S6
Private credit	7.0%	7.0%	0.0pp	4.0%–10.0%	Maintain income role S5 S7
Infrastructure	4.0%	6.0%	+2.0pp	3.0%–8.0%	Direct new commitments here S5 S6
Secondaries	0.0%	1.0%	+1.0pp	At or below 3.0%	Add vintage diversification S6 S7

Analysis — Why this target

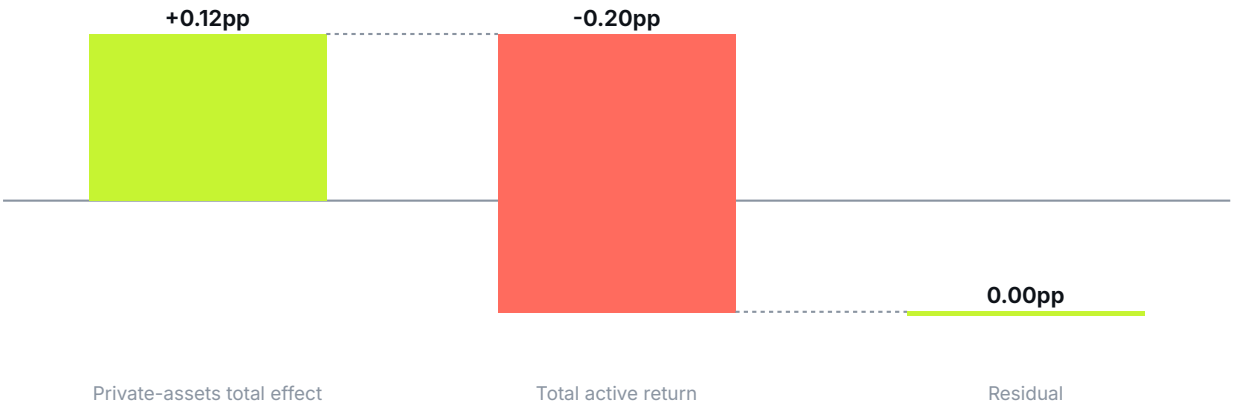
Observation: New pacing increases two roles, infrastructure and secondaries, versus the current mix S6. Why it matters: The broader mix remains inside policy boundaries S3. Uncertainty: CMA, regime and manager-finding coverage remain incomplete S7. What would change the view: Liquidity coverage below policy or completed records rejecting either role S3 S7.

Targets are a committee proposal from the illustrative mandate and returned policy headroom; they are not changes saved to GradientCIO S3 S7.

05 Historical Performance and Attribution

Returned portfolio evidence; sleeve gaps remain explicit

GOVERNED ATTRIBUTION EFFECTS



Returned attribution effects; residual is shown explicitly S5.

STANDARD PERIODS

PERIOD	PORTFOLIO / SLEEVE	BENCHMARK	EXCESS	COVERAGE
1Y total portfolio	7.2%	7.6%	-0.4pp	Complete S8
3Y total portfolio (ann.)	6.8%	6.5%	+0.3pp	Complete S8

ATTRIBUTION EFFECTS

EFFECT	CONTRIBUTION	SOURCE
Private-assets total effect	+0.12pp	S8
Total active return	-0.20pp	S8
Residual	0.00pp	S8

Governed attribution method and reconciliation metadata follow S5.

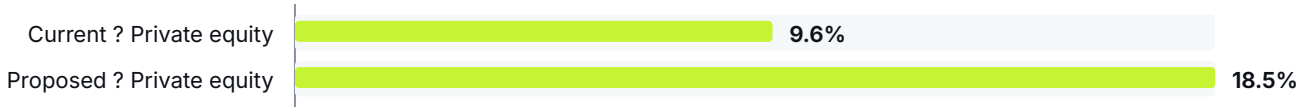
METHOD

Method	**Brinson-Fachler** S8
Linking	**Symmetric Carino** S8
Basis	**Net, monthly linked** S8
Tolerance	**1 bp; reconciled** S8

06 Forward Return and Risk

Governed assumptions frame tradeoffs rather than forecasts

FORWARD EXPECTED-RETURN COMPARISON



Governed forward assumptions; assumptions, not forecasts S6.

Assumption set	**2026 Strategic CMA** S5
Regime	**Baseline** S5
Horizon	**10 years** S5
Currency	**USD** S5
Context fingerprint	**test-pm-forward-2026** S5

PRIVATE-MARKET FORWARD ASSUMPTIONS

SEGMENT	EXPECTED RETURN	EXPECTED VOLATILITY
Private equity	9.6%	18.5%
Private credit	7.1%	9.2%
Infrastructure	7.8%	11.8%

Analysis — Assumptions frame tradeoffs

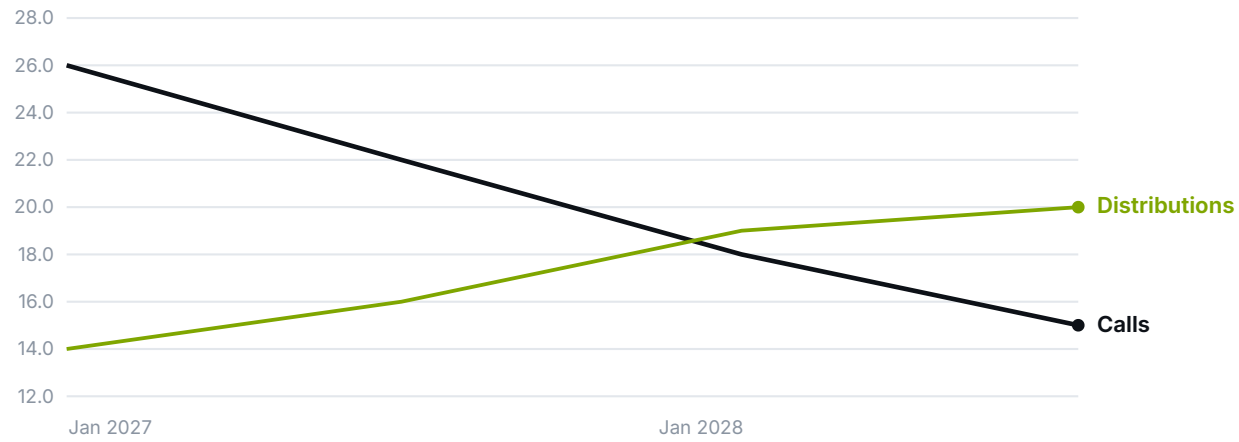
Observation: Private equity has higher expected return and volatility than every other selected segment S5. Why it matters: Segment sizing balances return potential against modeled risk. Uncertainty: These long-horizon assumptions are not manager forecasts. What would change the view: A governed assumptions refresh reversing either relative ranking S5.

The figures are long-horizon assumptions under the selected context, not forecasts or guarantees S5.

07 Commitments, Pacing and Cash Flow

Returned portfolio commitment schedule

COMMITMENT PACING (USD MILLIONS)



Illustrative projection for committee review S6.

PROJECTED CALLS AND DISTRIBUTIONS

PERIOD	CALLS	DISTRIBUTIONS
2026 H2	USD 26,000,000	USD 14,000,000
2027 H1	USD 22,000,000	USD 16,000,000
2027 H2	USD 18,000,000	USD 19,000,000
2028 H1	USD 15,000,000	USD 20,000,000

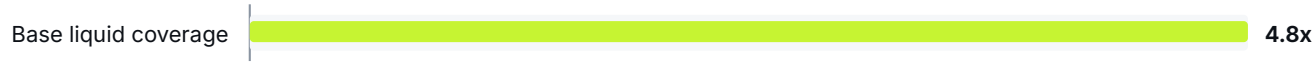
NEAR-TERM PACING

PERIOD	CALLS	DISTRIBUTIONS	NET CASH FLOW	BASIS	SOURCE
2026 H2	$26.0M	$14.0M	-$12.0M	Returned projection	S6
2027 H1	$22.0M	$16.0M	-$6.0M	Returned projection	S6
2027 H2	$18.0M	$19.0M	+$1.0M	Returned projection	S6

08 Liquidity and Denominator Risk

Coverage remains adequate under the sample stress case

GOVERNED SCENARIO COVERAGE



Denominator stress is unavailable S3 S6.

LIQUIDITY COMPOSITION



LIQUIDITY PROFILE

BUCKET	% NAV	AMOUNT	REQUIREMENT	STATUS
Daily to quarterly	44.0%	$440.0M	At least 25.0%	Compliant
Over two years / locked	23.0%	$230.0M	At or below 30.0%	Compliant

Liquid assets	**$440.0M** S3
Unfunded commitments	**$92.0M** S4
Base coverage	**4.8x** S3
Near-term projected calls	**$48.0M** S6

> **Analysis — Coverage supports pacing**
> Observation: Base liquid coverage is 4.8x against unfunded commitments S3 S4. Why it matters: Current resources support the staged pacing case. Uncertainty: A governed denominator-stress result remains unavailable for this portfolio. What would change the view: Lower resources, higher calls, or stress results below the policy threshold S3 S6.

SUPPORTED SCENARIOS

SCENARIO	LIQUID RESOURCES	FUNDING NEED	COVERAGE	STATUS
Governed base case	$440.0M	$92.0M	4.8x	Compliant
Denominator stress	Not available — no governed stress result	Not available	Not available	not assessed

09 Diversification and Manager Diligence

Concentration and pre-commitment conditions

DIVERSIFICATION

AXIS	LARGEST EXPOSURE	SHARE	LIMIT	STATUS	SERVER METRIC / BASIS
Manager	Example Private Manager A	11.4%	12.0%	Watch	Commitment exposure; additive S4
Strategy	Private equity	52.2% of private NAV	Not assessed	not assessed	Commitment exposure; additive S4
Portfolio company	illustrative Company A	24.0% of valued company NAV	Not assessed	Partial	Server company_concentration; canonical NAV; non-additive S9
Sector	Technology	41.0% of valued company NAV	Not assessed	Partial	Server sector_concentration; canonical NAV; non-additive S9

PORTFOLIO-COMPANY EVIDENCE

COMPANY	CANONICAL NAV	EXACT ILPA VALUE	VALUATION / REPORTING DATE	PROJECTED RANGE	LEVERAGE / COVERAGE	COVENANT STATUS	OPERATING-QUALITY EVIDENCE	RECONCILIATION	SOURCE
illustrative Company A	$24.0M	FMV $24.0M in USD	2026-06-30 / 2026-06-30	Leverage 3.0–4.0x	Interest coverage 2.0–3.0x	In compliance	Revenue growth 5%–10%	Matched	S9
illustrative Company B	$18.0M	FMV $18.0M in USD	2026-06-30 / 2026-06-30	Leverage 4.0–5.0x	Interest coverage 1.5–2.0x	Watch	EBITDA margin 15%–20%	Matched	S9

Selected artifact illustrative-ilpa-artifact-test, version 1; parser ilpa_portfolio_company_draft_2026_07_22 version 1.0.0; projection registry private-markets-holding-exact-to-range-v1, checksum aaaa

MANAGER EVIDENCE

MANAGER / FUND	EXPOSURE	DILIGENCE STATUS	OPEN FINDINGS	NEXT STEP
Example Private Manager A	$114.0M	Current S7	1 Medium S7	Close valuation-control follow-up
Proposed infrastructure manager	Not funded	Not assessed S7	Not assessed	Run manager comparison and ODD

10 Proposed Program and Implementation

Phased commitments with decision gates

COMMITMENT PROGRAM

PERIOD	SEGMENT	PROPOSED AMOUNT	FUNDING SOURCE	CONDITION	SOURCE
2026 H2	Infrastructure	$25.0M	Distributions and liquid reserve	Complete ODD	S6 S7
2027 H1	Private credit	$20.0M	Distributions	Coverage remains compliant	S3 S6
2027 H2	Secondaries	$20.0M	Distributions and cash	Committee checkpoint	S3 S6
2028 H1	Reserve	$15.0M	To be determined	Evidence refresh	S6

ALTERNATIVES CONSIDERED

ALTERNATIVE	BENEFIT	COST / RISK	REASON NOT SELECTED
No new commitments	Maximum liquidity	Target exposure declines	Does not address program objective S3 S6
Front-load commitments	Faster target progress	Higher near-term calls	Coverage sensitivity S3 S6

- Phase each commitment after diligence clearance S7.
- Refresh pacing and policy liquidity quarterly S3 S6.
- Return to committee if manager concentration reaches its governed limit S3.

11 Risks, Open Items and Approvals

Conditions that govern implementation

DECISION RISKS

PRIORITY	RISK	EVIDENCE	MITIGATION / CONDITION	OWNER
High	Valuation and denominator lag	Q1 valuations S4	Quarterly headroom test	Investment staff
Medium	Manager concentration	11.4% vs 12.0% S3 S4	Cap follow-on commitments	CIO
Medium	Near-term net calls	$18.0M through 2027 H1 S6	Maintain liquidity gate	Treasury

OPEN ITEMS AND APPROVALS

TIMING	ITEM	REQUIRED EVIDENCE	OWNER	STATUS
Before approval	Confirm first manager	Comparison and ODD	Private markets team	Open S7
Within 30 days	Document pacing limits	Final program schedule	CIO	Open S6
Next review	Refresh valuations	2026 Q2 NAVs	Operations	Open S4

12 Coverage

Portfolio and allocation	**available**	Illustrative sample data S2
Policy	**available**	Allocation, liquidity and concentration S3
Exposure	**available**	NAV, commitments and unfunded S4
ILPA portfolio-company look-through	**degraded**	Partial — 2 of 3 holdings assessed; one unknown grain; Draft — July 22, 2026 S9
Forward assumptions	**available**	2026 Strategic CMA S5
Commitments charts	**available**	Returned pacing projection S6
Manager diligence	**degraded**	Proposed manager not assessed S7
Returns and attribution	**degraded**	No sleeve-specific return S8
CMA consensus	**unavailable**	Optional context not returned S5
Macro regime	**unavailable**	Optional context not returned S5
Strategy Lab	**unavailable**	No selected series S8
Peer allocation context	**unavailable**	Optional context not returned S7
Transaction costs	**unavailable**	Not returned S8

A Appendix — Sources and methods

TAG	EVIDENCE	BASIS	TOOL / VIEW	KEY PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S1	Org capabilities	gradient_tool	list_organizations; get_gradient_capabilities	org=test	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S2	Portfolio / allocation	gradient_tool	list_portfolios; get_portfolio_structure	allocation_tree	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S3	Policy assessment	gradient_tool	check_portfolio_policy	portfolio=test	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S4	Private-market exposure	gradient_tool	get_portfolio_exposure	all pages	2026-03-31	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S5	Forward assumptions	gradient_tool	get_capital_market_assumptions	baseline	2026-06-15	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S6	Commitments and pacing	gradient_tool	get_chart_data	commitments	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S7	Manager / mandate	gradient_tool	get_gradient_capabilities	illustrative	2026-06-30	Illustrative sample data	advisory	sha256:aaaaaaaaaaaa
S8	Returns / attribution	gradient_tool	get_portfolio_historical_returns; get_portfolio_attribution	all sections	2026-06-30	Illustrative sample data	degraded	sha256:aaaaaaaaaaaa
S9	ILPA company look-through	gradient_tool	get_private_markets_holdings	paged; server aggregates	2026-06-30	Illustrative sample data	partial	sha256:aaaaaaaaaaaa

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

Full digests — S1: sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa; S2: sha256:aaaaaaaaaaaaaaaaaaaa